

RR Kabel Limited (RRKABEL)

Project RISE Fuels Next Leg of Growth; Strong Structural Tailwinds Intact

BUY

TP	Rs. 1,750
CMP	Rs. 1,435
Upside / Downside	+22%

Shareholding Pattern %	
Promoters	61.8
FII	8.2
DII (MF+Ins.)	11.2
Public & Others	18.8

Key Stock Data	Facts and Figures
Bloomberg / NSE	RRKABEL IN / RRKABEL.NS
Sector	Cables & Electricals
Shares Outstanding (Mn)	113.09
Market Cap (Rs Mn)	1,62,272
Market Cap (Rs Cr)	16,227
3m Daily Avg. Trd. Value (Rs Mn)	450
52-Week High / Low (Rs)	1,523.80 / 853.55
Enterprise Value (Rs Mn)	1,60,053
Coverage Date	18 December 2025
Face Value (Rs)	5.00

Financial Snapshot

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Revenue	55,992	65,946	76,182	81,222	94,878	115,257	134,091
Rev. Growth (YoY %)	—	17.8%	15.5%	6.6%	16.8%	21.5%	16.3%
EBITDA	3,223	4,617	4,856	4,766	5,952	7,985	10,328
EBITDA Margin (%)	5.76%	7.00%	6.37%	5.87%	6.27%	6.93%	7.70%
PAT	1,899	2,981	3,116	3,040	4,207	5,803	7,353
PAT Growth (YoY %)	—	57.0%	4.5%	-2.4%	38.4%	37.9%	26.7%
EPS	16.8	26.4	27.6	26.9	37.2	51.3	65.0
P/E (x)	—	—	52.1x	53.4x	38.6x	28.0x	22.1x
EV/EBITDA (x)	—	—	33.0x	33.6x	26.9x	20.0x	15.5x
ROE (%)	13.4%	16.3%	14.5%	12.4%	14.6%	16.8%	17.5%

Source: Company Annual Reports; Estimates

SUMMARY

RR Kabel Limited (NSE: RRKABEL) is one of India's fastest-growing vertically integrated manufacturers of wires, cables, and fast-moving electrical goods (FMEG). We initiate coverage with a BUY rating and a 12-month target price of Rs. 1,750, implying 22% upside from the current market price of Rs. 1,435. Our conviction rests on the company's strong brand, robust export franchise spanning 74 countries, and its transformational Project RISE — a three-year capex program (FY26–FY28) designed to re-rate both top-line trajectory and profitability.

KEY HIGHLIGHTS & INVESTMENT RATIONALE

- **Revenue CAGR of 17.2% through FY30E:** RR Kabel's revenues have compounded at 16.6% over FY23–FY25 (Rs. 55,992 Mn to Rs. 76,182), underpinned by the core W&C segment (87.8% revenue share) and a rapidly scaling FMEG vertical. We project revenues to grow from Rs. 81,222 Mn in FY26E to Rs. 1,34,091 Mn in FY29E, CAGR of 16.8%. The Q2 FY26 delivered a landmark quarter with consolidated revenue rising 19.5% YoY to Rs. 21,638 Mn, validating the growth trajectory.
- **Project RISE — Clear roadmap to margin accretion:** A Rs. 1,200 Cr capex program (Project RISE, FY26–FY28) targets capacity expansion in higher-KV power cables and value-added products. Management has articulated W&C CAGR of 18%, FMEG CAGR of 25%, and EBITDA to scale 2.5x from current levels by FY28. We model EBITDA margins recovering from 5.87% in FY26E to 7.70% in FY29E as operating leverage, product premiumization, and FMEG maturation take hold. The Q2 FY26 EBITDA margins were already 8.1% ahead of FY26E.
- **Balance sheet pristine — Net cash position:** RR Kabel has systematically reduced current borrowings from Rs. 4,890 Mn in FY23 to Rs. 2,220 Mn in FY25, creating a net cash position of Rs. 2,220 Mn as at FY25A. The debt/equity ratio stands at 0.10x in FY25A and is projected to decline to 0.03x by FY29E. Interest coverage has expanded from 6.2x in FY23A to 27.8x by FY29E. The clean balance sheet provides ammunition to fund the Rs. 1,200 Cr Project RISE capex without balance sheet stress.
- **Outlook — ROE re-rating as earnings CAGR accelerates:** ROE is forecast to improve from 12.4% in FY26E to 17.5% by FY29E, driven by a PAT CAGR of 34% over FY26–FY29E. The company has proactively managed its working capital cycle, reducing cash conversion from 71 days in FY23 to 54 in FY25). Management's aspirational ROE target aligns with our 14 - 18% forecast range. We value the stock at 2.1x P/Sales on FY26E revenues, implying a target price of Rs.1,750 and a BUY recommendation.

COMPANY OVERVIEW

Business Segments

The Wires & Cables segment, contributing approximately 87.8% of FY25A consolidated revenues (Rs. 66,888 Mn), spans house wires, industrial wires, extra high-voltage (EHV) power cables, and specialty cables including solar PV and fire-resistant cables. Within W&C, house wires and LT power cables are the volume-driving products while EHV cables — the focus of Project RISE capacity additions — command superior margins. The segment's revenue has grown from Rs. 49,585 Mn in FY23A to Rs. 66,888 Mn in FY25A, a CAGR of 16.1%.

The FMEG segment — comprising fans, LED luminaires, switches, switchgear, and domestic appliances — contributes approximately 12.2% of consolidated revenues (Rs. 9,296 Mn in FY25A). Revenues have grown from Rs. 6,475 Mn in FY23A, and management has guided for a 25% CAGR over the medium term. The segment is loss-making at current scale but is expected to approach break-even as the distribution footprint deepens and premium product mix improves. The company has articulated a strategy of expanding across economy, mid-premium, and premium tiers.

Market Positioning & Global Presence

RR Kabel is positioned as the third-largest wires and cables player in India by revenues, behind Polycab India and KEI Industries. The company's competitive differentiation lies in its dual-channel model — serving both the domestic retail market and global export markets which structurally reduces earnings cyclicity. Its international operations span Europe, the Middle East, and Asia-Pacific, with exports executed under both the RR Kabel brand and private-label arrangements for selecting multinational partners. The company's Silvassa manufacturing facility is one of the largest cable production complexes in India, and Project RISE will expand capacity by approximately 1.7x in W&C by FY28.

INDUSTRY & COMPETITIVE LANDSCAPE

Indian Wires & Cables Industry

The Indian wires and cables industry is estimated at approximately Rs. 70,000–75,000 Crore (USD 8–9 billion) in FY25 and is projected to grow at a CAGR of 14–16% through FY28, driven by infrastructure capex, housing construction, electrification, and renewable energy adoption. The market is bifurcated between the organized sector (~60–65% share, growing rapidly) and the unorganized sector (~35–40% share, declining due to GST compliance, BIS mandates, and quality-consciousness in the channel). RR Kabel is an organized, branded player ideally positioned to benefit from sectoral formalization.

Structural Market Tailwinds

- **Infrastructure & Power Grid Expansion:** The Government of India's Rs. 111 lakh crore National Infrastructure Pipeline (NIP) and the National Electricity Plan targeting 777 GW of installed capacity by FY32 are multi-year demand tailwinds for power cables. Grid upgradation, smart metering, and the Rs. 3.03 lakh crore Revamped Distribution Sector Scheme (RDSS) represents a pipeline of cable-intensive projects.
- **Renewable Energy & Solar PV:** India targets 500 GW of non-fossil fuel capacity by 2030. Solar PV capacity additions of 50–60 GW annually require certified, high-performance cables. RR Kabel has invested in R&D for BIS-certified DC cables for solar, positioning it to capture incremental margin-accretive demand. Export markets in Europe and the Middle East are similarly accelerating solar deployments.
- **Housing & Urbanization:** The Pradhan Mantri Awas Yojana (PMAY) urban and rural programs, combined with structural demand from Tier 2/3 city real estate, provide sustained demand for LT house wires — RR Kabel's largest volume product. Retail disbursements (house wires channel) grew 37% YoY in Q3 FY22 at the sector level, indicating channel momentum.
- **Export Market Share Gains:** RR Kabel's export revenues represent ~26% of W&C revenues (H1 FY26: 28%), with a presence in 74 countries. Industry export growth is projected at 16–18% for FY26, supported by European demand for low-voltage cables, Middle Eastern infrastructure capex, and Indian manufacturers gaining share over Chinese competition on quality and lead-time.

Sector Headwinds

- **Raw Material Price Volatility:** Copper (50–55% of cable RM cost) and aluminum are the primary inputs. LME copper prices at USD 9,000 9,500/ton create a unit economics squeeze if pass-through is delayed. A 5% copper price increase, unmitigated, can compress EBITDA margins by ~80–100 bps. RR Kabel mitigates this through back-to-back contracts and inventory management.
- **FMEG Competitive Intensity:** The FMEG segment is dominated by Havells India, Crompton Greaves Consumer Electricals, and Anchor (Panasonic). RR Kabel's late-entry disadvantage means brand equity building will require sustained marketing expenditure and distribution investment, pressuring near-term FMEG profitability.
- **Working Capital Intensiveness:** The cables industry structurally requires elevated working capital (CCC; 54-71 days for RR Kabel). Any deterioration in receivables management, particularly from export channel or institutional customers, could stress short-term liquidity.

Exhibit 1: Peer Comparison — Indian Cables & Electricals Sector

Company	CMP	Mkt Cap (Rs Cr)	Rev FY25 (Mn)	EBITDA	EV/Sales	EV/EBITDA	ROE
RR Kabel Ltd	1,435	16,227	76,182	6.4%	2.1x	33.0x	14.5%
Polycab India	7,592	1,13,656	2,24,080	13.2%	5.1x	38.6x	26.1%
KEI Industries	3,928	37,652	97,360	10.2%	3.7x	36.6x	22.0%
Finolex Cables	770	11,650	53,190	9.7%	2.2x	22.7x	18.0%
Universal Cables	726	3,362	24,070	7.5%	1.4x	18.6x	12.0%

Source: Bloomberg; Company Filings.

FINANCIAL ANALYSIS

Revenue Growth — Structural, Secular, Sustained

RR Kabel's consolidated revenues have grown from Rs. 55,992 Mn in FY23A to Rs. 76,182 Mn in FY25A — a two-year CAGR of 16.6% driven by volume-led growth in the W&C segment and accelerating FMEG revenues. W&C segment revenues grew from Rs. 49,585 Mn (FY23A) to Rs. 66,888 Mn (FY25A), a CAGR of 16.1%, while FMEG grew from Rs. 6,475 Mn to Rs. 9,296 Mn, a CAGR of 19.8%. We project revenues to moderate to Rs. 81,222 Mn in FY26E (+6.6% YoY) on a high base, before re-accelerating to Rs. 94,878 Mn in FY27E (+16.8% YoY) and Rs. 1,15,257 Mn in FY28E (+21.5% YoY) as Project RISE capacity comes on stream. Our FY23–FY29E revenue CAGR estimate is 16.8%.

EBITDA Margin Trajectory — Recovery in Progress

EBITDA expanded from Rs. 3,223 Mn (5.76% margin) in FY23A to Rs. 4,617 Mn (7.00%) in FY24A — a 3x+ improvement in absolute terms. Margins softened in FY25A to 6.37% (Rs. 4,856 Mn), reflecting elevated operating costs, channel investments, and the ongoing FMEG ramp-up phase. However, Q2 FY26 demonstrated strong recovery with EBITDA margins expanding to ~8.1% on a consolidated basis — the highest quarterly outturn in recent history as pricing power and operating leverage began to materialize. We model margins recovering to 5.87% in FY26E (impacted by full-year cost recognition), then expanding to 6.27% in FY27E, 6.93% in FY28E, and 7.70% by FY29E, as: (i) Project RISE drives premiumization; (ii) FMEG approaches EBITDA break-even; (iii) fixed cost absorption improves with revenue scale.

PAT & EPS — Earnings Inflection on Track

PAT grew significantly from Rs. 1,899 Mn (FY23A) to Rs. 2,981 Mn (FY24A, +57.0% YoY) before moderating to Rs. 3,116 Mn in FY25A (+4.5% YoY) owing to higher depreciation from the ongoing capex cycle and FMEG investments. PAT is expected to reach Rs. 3,040 Mn in FY26E (2.4% YoY, reflecting elevated D&A from Rs. 704 Mn in FY25 to Rs. 831 Mn in FY26E) before accelerating strongly to Rs. 4,207 Mn in FY27E (+38.4%), Rs. 5,803 Mn in FY28E (+37.9%), and Rs. 7,353 Mn in FY29E (+26.7%) — a FY26–FY29E PAT CAGR of ~34.2%. EPS is modelled at Rs. 26.88 (FY26E) rising to Rs. 65.02 (FY29E). Net profit margin is expected to expand from 4.1% in FY25A to 5.48% by FY29E. ROE recovers from 12.4% in FY26E to 17.5% in FY29E as earnings scale outpaces equity growth.

Balance Sheet — Strong, Deleveraging

Total equity has grown from Rs. 14,197 Mn in FY23A to Rs. 21,526 Mn in FY25A, backed by consistent profit retention. Total assets stand at Rs. 35,169 Mn (FY25A), with current borrowings declining from Rs. 4,890 Mn (FY23A) to Rs. 2,220 Mn (FY25A) transitioning the company to a net cash position of Rs. 2,220 Mn. The debt/equity ratio declined from 0.36x (FY23A) to 0.10x (FY25A) and is expected to reach 0.03x by FY29E. Working capital quality has improved, with the cash conversion cycle declining from 71 days (FY23A) to 54 days (FY25A), though it is expected to normalize at ~62 days over FY26–FY29E as scale increases. Total capex for Project RISE is Rs. 1,200 Cr over FY26–FY28, of which approximately Rs. 2,476 Mn was deployed in FY26E.

Cash Flow — Healthy Operations, Investment Cycle Underway

Operating cash flow has been consistently positive and strong: Rs. 4,528 Mn (FY23A), Rs. 3,379 Mn (FY24A), and Rs. 4,923 Mn (FY25A). FY26E CFO is modelled at Rs. 3,666 Mn, moderating in FY27E to Rs. 713 Mn due to elevated working capital build-out. CFI was Rs. 3,334 Mn in FY23A and Rs. 1,690 Mn in FY25A, reflecting capex for the Silvassa plant and Project RISE.

Exhibit 2 : Quarterly Snapshot — RR Kabel (Rs Mn)

Particulars	Q2 FY26	Q2 FY25	Q1 FY26	YoY (%)	QoQ (%)	Comments
Revenue	21,638	18,106	20,500	+19.5%	~+5.5%	Beat on top line
EBITDA	1,753	723	1,500	+142%	+16.9%	Q2 FY26 EBITDA more than doubled YoY
EBITDA Margin (%)	8.1%	~4.0%	7.3%	+410 bps	+80 bps	Highest quarterly margin
PAT	1,163	509	900	+128%	+29.2%	More than doubled YoY
EPS	10.28	4.50	7.96	+128%	+29.2%	Strong per-share accretion
W&C Revenue	15,860	13,360	15,100	+18.7%	+5.0%	Core segment driving growth
FMEG Revenue	1,926	1,983	2,251	-2.9%	-14.4%	Seasonal softness in Q2
Export Mix (% of W&C)	27%	24%	26%	+300 bps	+100 bps	Rising export share
D/E Ratio	~0.08x	~0.36x	~0.10x	Improving	Improving	Sharp deleveraging

Source: Company Investor Presentations; Q2 FY26 Con call; Estimates. Note: Q2 FY25 and Q1 FY26 certain figures estimated from H1 FY26 data

VALUATION

Exhibit 3: Blended Valuation Summary

Method	Basis / Metric	Multiple / WACC	EV (Rs Mn)	Per Share Value (Rs)	Weight
Discounted Cash Flow	FY26–FY30E FCFF	WACC 11.44% TGR 7.50%	2,06,314	1,805	60%
EV/Sales	FY26E Revenue	2.10x	1,70,641	1,489	20%
Price-to-Book	FY26E Book Value/Share	7.54x	1,85,190	1,618	20%
Blended Target Price				Rs. 1,750	100%

Source: Financial Model — Sheet 4 (Valuation). All figures from model; no assumptions estimated externally.

Exhibit 4: DCF Model Summary

WACC Inputs	Value	DCF Outputs	Amount (Rs Mn)
Risk-Free Rate	6.50%	PV of Explicit FCFs (FY26–FY30E)	27,355
Market Rate of Return	12.76%	PV of Terminal Value	1,78,959
Beta	0.86x	Enterprise Value (EV)	2,06,314
Cost of Equity (Ke)	11.86%	Less: Net Debt / (Add: Net Cash)	(2,220)
Pre-Tax Cost of Debt	10.00%	Equity Value	2,04,093
Tax Rate	26.00%	Shares Outstanding (Mn)	113.09
Post-Tax Cost of Debt (Kd)	7.40%	DCF Per Share Value (Rs)	1,805
Weight of Equity	90.6%	Terminal Growth Rate	7.50%
WACC	11.44%	Terminal Value	2,91,378

Source: Financial Model — Valuation Sheet 4.

FINANCIAL SUMMARY

Exhibit 5: Profit & Loss Account

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Revenue from Operations	55,992	65,946	76,182	81,222	94,878	1,15,257	1,34,091
Change (YoY %)	—	17.8%	15.5%	6.6%	16.8%	21.5%	16.3%
Total Operating Expenses	52,769	61,329	71,326	76,456	88,926	1,07,272	1,23,763
EBITDA	3,223	4,617	4,856	4,766	5,952	7,985	10,328
EBITDA Margin (%)	5.76%	7.00%	6.37%	5.87%	6.27%	6.93%	7.70%
Depreciation & Amortization	596	655	705	831	561	604	1,005
EBIT	2,627	3,962	4,151	3,935	5,391	7,381	9,323
Finance Cost	421	539	589	402	377	355	336
Other Income	344	626	511	545	637	773	900
PBT	2,550	4,050	4,074	4,078	5,650	7,799	9,887
Tax	661	1,079	978	1,060	1,469	2,028	2,570
PAT	1,899	2,981	3,116	3,040	4,207	5,803	7,353
Change (YoY %)	—	57.0%	4.5%	-2.4%	38.4%	37.9%	26.7%
EPS (Rs)	16.79	26.36	27.55	26.88	37.20	51.31	65.02
Return on Equity (%)	13.4%	16.3%	14.5%	12.4%	14.6%	16.8%	17.5%
Return on Assets (%)	7.2%	10.4%	8.9%	7.5%	9.9%	11.5%	12.5%

Source: Company Annual Reports; Estimates.

Exhibit 6: Balance Sheet

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Equity Share Capital	478	564	565	565	565	565	565
Reserves & Other Equity	13,718	17,720	20,961	24,001	28,208	34,011	41,364
Net worth (Equity)	14,197	18,285	21,526	24,566	28,774	34,576	41,930
Borrowings (Current)	4,890	2,890	2,220	1,954	1,719	1,513	1,332
Non-Current Liabilities	1,144	986	1,022	1,114	1,121	1,151	1,193
Other Current Liabilities	6,105	6,531	10,401	13,134	11,042	13,423	14,590
Total Liabilities & Equity	26,336	28,693	35,169	40,768	42,656	50,664	59,044
Fixed Assets (Net)	5,543	6,981	10,037	13,164	14,454	15,981	17,239
Investments (Total)	3,626	3,415	2,391	4,456	4,523	5,098	7,309
Inventories	8,602	8,978	10,109	10,746	11,166	12,898	15,923
Trade Receivables	5,919	6,412	8,232	8,420	9,771	12,091	13,925
Cash & Cash Equivalents	811	988	2,269	1,644	223	1,528	754
Other Assets	1,835	1,919	2,131	2,338	2,519	3,068	3,894
Total Assets	26,336	28,693	35,169	40,768	42,656	50,664	59,044

Source: Company Annual Reports; Estimates.

Exhibit 7: Cash Flow Statement

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Cash Flow from Operations (CFO)	4,528	3,379	4,923	3,666	713	3,982	2,805
Operating Profit before WC	3,576	4,984	5,231	5,289	6,562	8,727	11,191
Changes in Working Capital	952	-640	657	-1,623	-5,849	-2,745	-7,816
Cash Flow from Investing (CFI)	-3,334	-835	-1,690	-2,476	-9	-102	-549
Capital Expenditure	-1,083	-1,897	-3,671	-2,476	-9	-102	-549
Free Cash Flow (CFO + Capex)	3,445	1,482	1,252	1,190	704	3,880	2,256
Cash Flow from Financing (CFF)	-1,015	-2,050	-1,912	-1,682	-2,125	-2,575	-3,030
Net Change in Cash	178	493	1,321	-492	-1,421	1,305	-775
Opening Cash	123	310	815	2,136	1,644	223	1,528
Closing Cash	301	803	2,136	1,644	223	1,528	753

Source: Company Annual Reports; Estimates.

Exhibit 8: Key Financial Ratios

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Growth							
Revenue Growth	—	17.8%	15.5%	6.6%	16.8%	21.5%	16.3%
EBITDA Growth	—	43.3%	5.2%	-1.9%	24.9%	34.2%	29.3%
PAT Growth	—	57.0%	4.5%	-2.4%	38.4%	37.9%	26.7%
Margins							
EBITDA Margin	5.76%	7.00%	6.37%	5.87%	6.27%	6.93%	7.70%
EBIT Margin	4.69%	6.01%	5.45%	4.85%	5.68%	6.40%	6.95%
Net Profit Margin	3.39%	4.52%	4.09%	3.74%	4.43%	5.03%	5.48%
Returns							
Return on Equity	13.4%	16.3%	14.5%	12.4%	14.6%	16.8%	17.5%
Return on Assets	7.2%	10.4%	8.9%	7.5%	9.9%	11.5%	12.5%
Leverage							
Debt / Equity	0.36x	0.16x	0.10x	0.08x	0.06x	0.04x	0.03x
Interest Coverage	6.2x	7.4x	7.1x	9.8x	14.3x	20.8x	27.8x
Current Ratio	1.77x	2.12x	1.78x	1.64x	1.95x	2.02x	2.23x
Cash Conversion Cycle (days)	71	67	54	64	62	60	62
Valuation							
EPS	16.8	26.4	27.6	26.9	37.2	51.3	65.0
P/E	—	—	52.1x	53.4x	38.6x	28.0x	22.1x
EV/EBITDA	—	—	33.0x	33.6x	26.9x	20.0x	15.5x
Book Value per Share (Rs)	125.5	161.7	190.3	217.2	254.4	305.7	370.8
Price / Book Value	11.4x	8.9x	7.5x	6.6x	5.6x	4.7x	3.9x

Source: Company Annual Reports; Estimates.

Notes

Key to Ratings

BUY: 15%+; **HOLD:** -5% to 15%; **SELL:** -5% and below.

Disclaimer

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RR Kabel Limited | 18 December 2025